

Germany Leapfrogs UK To Lead European VC Investment In Q2 As Region's Funding Settles

Gené Teare July 10, 2025



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Funding to Europe startups settled in Q2, coming in flat quarter over quarter, but down 24% from the peak second quarter in 2024, Crunchbase data shows.

A total of \$12.6 billion was raised by around 1,200 startups across Europe last quarter, with funding amounts comparable with the previous two quarters.

And for the first time since 2012, Germany-based startups jumped ahead of the United Kingdom by amounts invested in a quarter.



Still, the largest funding in Q2 did not go to a startup from Germany. It was a \$1.25 billion round to Turkey-based mobile game developer [Dream Games](#). After Dream Games, many of Europe's largest rounds this past quarter were in deep tech sectors including defense, quantum computing, energy, robotics, aerospace and therapeutics, as well as in fintech and software services.

Berlin-based AI defense tech [Helsing](#) raised the next-largest round — a \$694 million Series D — and Spain-based quantum software developer [Multiverse Computing](#) followed with a \$218 million Series B.

A total of \$2.8 billion was invested in Germany-based startups, while U.K.-based companies raised \$2.5 billion — the lowest quarter on record since 2019. Startups based in France, the third-largest European country for investment, raised \$1.8 billion.



Table of contents

- [Europe posted strong M&A](#)
- [Late stage](#)
- [Early stage](#)
- [Seed](#)
- [Europe subsidizes in a global context](#)
- [Methodology](#)
- [Glossary of funding terms](#)

Europe posted strong M&A

As it did [globally](#) and in [North America](#), startup M&A in Europe gained steam in Q2, totaling \$7.2 billion across 172 exits.

Four of the 18 venture-backed companies globally that were acquired for \$1 billion or more in Q2 hailed from Europe, Crunchbase data shows, with companies from many different sectors exiting.

Those acquisitions include:

- Cryptocurrency exchange [Deribit](#), based in the Netherlands, was acquired by [Coinbase](#);
- London-based [Hidden Road](#), a credit market for institutional investors, was acquired by [Ripple](#);
- Oxford quantum computing [Oxford Ionics](#) was acquired by [IonQ](#); and
- Barcelona-based legal intelligence platform [vLex](#) was acquired by [Clio](#).

Late stage

In Q2, around \$5.7 billion was invested across 75 deals into Europe startups at growth stage, according to Crunchbase data. That represented around 10% of global late-stage venture funding, the smallest proportion compared to other funding stages.



Early stage

Early-stage companies in Europe raised \$5 billion across more than 270 funding rounds last quarter. European funding was 19% of global early-stage funding and just over a third as large as North America at \$14.3 billion.



Seed

European seed funding totaled \$1.9 billion in Q2 across 845 seed rounds, representing 19% of global seed funding and a third the size of North America seed funding at \$5.9 billion.



Europe subsides in a global context

Europe's share of global venture capital subsided in the first half of 2025 to just 13%. That's well below the region's 19% share of global funding in H1 2024, per Crunchbase data.

Funding for the first half of 2025 was down 11% year over year in Europe.

North American funding, by contrast, surged year over year in the first half of the year; [\\$145 billion was invested in H1](#), with particular investor enthusiasm for AI companies.

Based on an analysis of Crunchbase data, late-stage financing in Europe was a far smaller proportion of global funding compared to funding at earlier stages, prompting the question: Does a less robust late-stage funding environment make it more difficult for European companies to compete on a worldwide basis?

Methodology

The data contained in this report comes directly from Crunchbase, and is based on reported data. Provisional data reported is as of July 3, 2025.

Note that data lags are most pronounced at the earliest stages of venture activity, with seed funding amounts increasing significantly after the end of a quarter/year.

Please note that all funding values are given in U.S. dollars unless otherwise noted. Crunchbase converts foreign currencies to U.S. dollars at the prevailing spot rate from the date funding rounds, acquisitions, IPOs and other financial events are reported. Even if those events were added to Crunchbase long after the event was announced, foreign currency transactions are converted at the historic spot price.

Glossary of funding terms

Seed and angel consists of seed, pre-seed and angel rounds. Crunchbase also includes venture rounds of unknown series, equity crowdfunding and convertible notes at \$3 million (USD or as-converted USD equivalent) or less.

Early-stage consists of Series A and Series B rounds, as well as other round types. Crunchbase includes venture rounds of unknown series, corporate venture and other rounds above \$3 million, and those less than or equal to \$15 million.

Late-stage consists of Series C, Series D, Series E and later-lettered venture rounds following the “Series [Letter]” naming convention. Also included are venture rounds of unknown series, corporate venture and other rounds above \$15 million. Corporate rounds are only included if a company has raised an equity funding at seed through a venture series funding round.

Technology growth is a private-equity round raised by a company that has previously raised a “venture” round. (So basically, any round from the previously defined stages.)

Illustration: [Dom Guzman](#)

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